STRATEGIC CAPITAL PORTAL

REVENUE MODEL & GROWTH TRAJECTORY

Financial Projections

DOCUMENT TYPE	CLASSIFICATION	DATE
Investor Material	STRICTLY CONFIDENTIAL	March 11, 2026

Financial Projections
Sovereign Infrastructure: The $10B-$100B Exit Path
Classification: STRICTLY CONFIDENTIAL

The Model

Critical water infrastructure. Not agtech. Not SaaS.
Governments fund deployment. Farmers get free compliance. We monetize optimization at **100% margin**.

Layer	Funding	FarmSense Economics
Hardware + Install	Government grants (USDA, World Bank, USAID, Gates)	$0 margin — pass-through
Base compliance (50m)	Free to farmers	Acquisition cost
Operations	Government grants	Infrastructure cost
Plus ($99.99/mo)	Farmers (optional upgrade)	**$99.99 = 100% profit**
Ultra ($299.99/mo)	Farmers (optional upgrade)	**$299.99 = 100% profit**
Enterprise ($499.99/mo)	Water courts, ESG, traders	**$499.99 = 100% profit**

Unit Economics

Conversion funnel:
100% get free 50m compliance (grant-funded)
40% upgrade to Plus (20m) at $99.99/mo
15% upgrade to Ultra (10m) at $299.99/mo
5% upgrade to Enterprise (1m) at $499.99/mo
Blended ARPU: $1,188/year per field (paid tier average)

Capitalization

Stage	Amount	Valuation	Dilution	Use
Initial	$25K	$2.5M	1%	Legal, concept
Seed	$25M	$100M	25%	AI grant infrastructure, bridge capital
Series A	$200M	$500M	12%	Multi-basin scale
Total	$225M	—	**37%**	Global deployment

Founder ownership at exit: 35% (post-dilution from initial 99%)

AI-Accelerated Grant Machine

160+ grants. 6 weeks. No grant writers.

Quarter	Output	Capital Unlocked
Q2 2026	160 applications submitted	$5-15M committed
Q3 2026	First reimbursements	$1-3M cash flow
Q4 2026	Scale applications	$10-25M pipeline

Grant sources:

USDA/NRCS: $300K-$5M per project

NSF/DOE: $275K-$10M

USAID: $50M-$100M (country-scale)

World Bank IDA: $10M-$75M

Gates Foundation: $1M-$100M

Green Climate Fund: $50M-$250M

Total 10-year grant pipeline: $810M+ identified

Growth Trajectory

Year	Fields	Paid Users	ARR	Margin	Valuation	Multiple
2026	2	0	$0	—	$100M	Seed
2027	1,280	512	$609K	100%	$250M	Early
2028	6,000	2,400	$2.85M	100%	$500M	Series A
2029	50,000	20,000	$23.8M	100%	$1.5B	Growth
2032	150,000	60,000	$71.3M	100%	$5B	Scale
2036	317,000	126,800	$150.6M	100%	$10-100B	Exit

The $100B Exit: How

Base ARR (2036): $150.6M from SaaS alone

But FarmSense becomes the Visa/Mastercard for water:

Revenue Stream	Annual Value	Margin
Core SaaS	$150.6M	100%
Water derivatives trading	$200-500M	80%
Carbon credits (water = energy)	$50-100M	95%
Insurance (drought hedging)	$100-300M	70%
Regulatory licensing (DWR + global)	$50-200M	90%
Data licensing (satellite ground-truth)	$20-50M	95%
Total Revenue	**$570M - $1.4B**	**88% blended**

Valuation scenarios:

Scenario	Revenue	Multiple	Rationale	Valuation
Conservative	$570M	18x	SaaS + utilities hybrid	**$10.3B**
Base	$1.4B	25x	Infrastructure standard	**$35B**
Sovereign	$1.4B	75x	Visa/Mastercard for water	**$100B**

75x multiple justification:

Network effects: Each field makes all others more valuable (interpolative accuracy)
Regulatory capture: Once DWR/State Engineer adopts, competitors locked out
Switching costs: 4+ years calibration data = irreplaceable
Financial infrastructure: Becomes the clearinghouse for water trades globally
Mission-critical: No farmer operates without it once mandated

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The Math

Conservative case ($10B exit):
Your 35% = **$3.5B**
Angel's $25K (0.35%) = **$35M (1,400x)**

Optimistic case ($35B exit):
Your 35% = **$12.25B**
Angel's $25K = **$122.5M (4,900x)**

Sovereign case ($100B exit):
Your 35% = **$35B**
Angel's $25K = **$350M (14,000x)**

Risk Mitigation

Risk	Mitigation	Confidence
Technical failure	Triple-redundant sensors, Lloyd's insurance	90%
CSU validation fails	5-field backup validation (parallel)	95%
Grant delays	Seed bridge capital ($25M) covers 18 months	95%
Regulatory rejection	Hire former State Engineer as chief lobbyist	85%
Competition	4-year data moat, regulatory capture	90%
Team execution	Hire VP Eng from Trimble/Deere, Head of Ops from NRCS	80%

Blended confidence: 90%

Immediate 90-Day Sprint

Week	Action	Output
1-2	Close $25M seed	Capital secured
3-4	Deploy AI grant machine	40 applications submitted
5-6	CSU pilot launch	Validation begins
7-8	Hire VP Eng + Head of Ops	Team building
9-10	Submit USDA SBIR Phase I	$300K non-dilutive
11-12	USAID + Gates concept notes	$50M+ pipeline initiated

Summary

FarmSense is **critical water infrastructure**, not agtech.

Governments pay for deployment (grants)

Farmers get free compliance (acquisition)

We monetize optimization at 100% margin

The world gets water security

Exit: $10-100B at Year 10 **Your stake:** $3.5-35B **Angel's $25K:** $35-350M

The infrastructure play of the decade.

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